Dear Arlington Town Manager Jim Feeney and School Superintendent Elizabeth Homan,

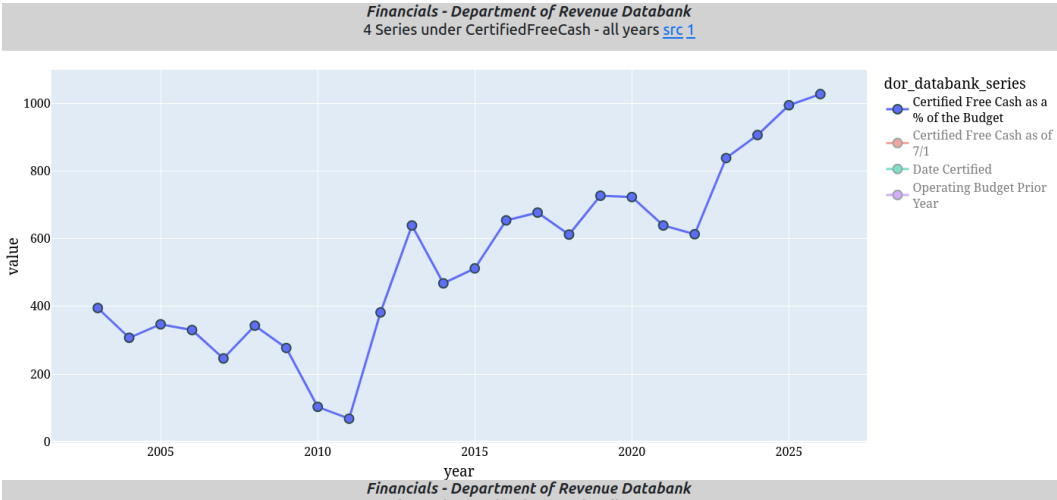
tl:dr Underestimating revenues and overestimating expenses creates a phantom budget deficit. Accurate revenue recognition and a 7% free cash to budget ratio eliminates the FY2027 budget deficit; no cuts required.

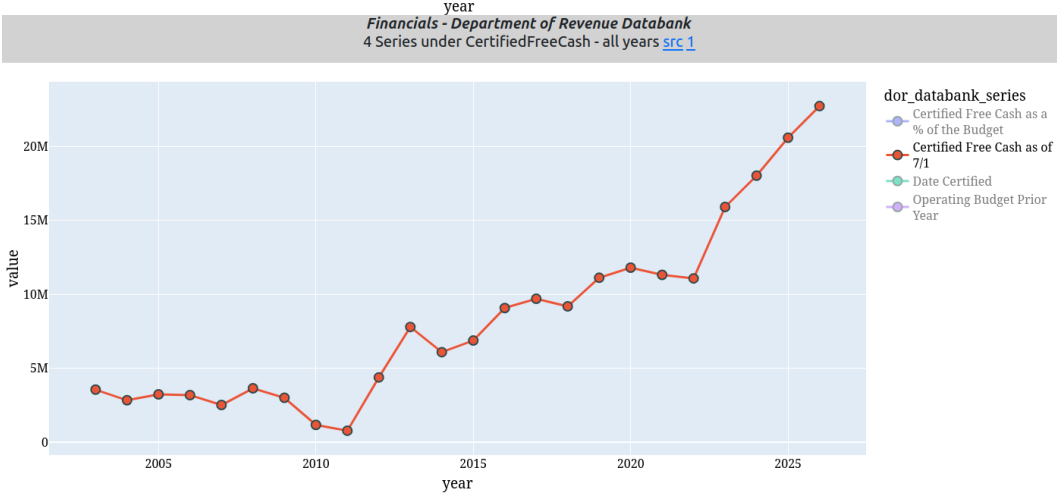
What is Free Cash?

> **Free Cash** in Massachusetts municipal finance refers to the **unrestricted, unappropriated funds** carried over from the previous fiscal year's operations. It is calculated as of **July 1** each year based on the town's balance sheet as of **June 30**, and is certified by the **Division of Local Services (DLS)** after the state reviews the prior year's financial reports. It typically includes:
>
> **Actual revenues exceeding budgeted amounts**.
> **Unspent funds from departmental budget line items**.
> **Unexpended free cash from the prior year**.

> The **Financial Management Resource Bureau (FMRB)** recommends maintaining free cash at **5% to 7% of the annual operating budget** to ensure fiscal stability and support strong bond ratings.

Below are two charts detailing (1) the percentage of free cash to budget (in basis points 1000 = 10%) and (2) the balance of Arlington's free cash (most recent $22M) from FY2003 to FY2026.





The first chart (basis points on y-axis) shows that the most recent free cash balance is 10% of the Town's budget, or about $22M on a $230M budget. Note that at a 10% free cash to budget ratio, Arlington's free cash is well over the FMRB recommendations quoted above. Each 1% change in free cash is about $2.3M.

On the second chart, from 2003 - 2011 or so, free cash was relatively constant and under 4% of budget, and starting in 2014, free cash has increased, just about every year, with a remarkable increase in 2023 when interest on MSRB funding of AHS was collected, see Investment Income chart in the Local Receipts section below.

Free cash is available for appropriation in subsequent fiscal years and has seen about $8M in FY2024, $9M in FY2025 and $10M in FY2026 added to the revenues side of Town Meeting appropriations, leaving a starting point of more than $13M (>5% of budget) available

in FY2027 ***PLUS*** any underestimated local receipts and overestimated expenses (*padding*) from FY2026, estimated at another $10M or so.

You will notice, that although $8M - $10M has been transferred to appropriations each of the last 3 years, the balance of the free cash account has increased, suggesting between 3% and %5 of the budget is underestimated revenues PLUS over estimated expenses combined running about $8M to $10M per year.

Let's show where $10M of revenues and inflated expenses are not being recognized in budgeting or financial reporting of budget deficits as support for a Prop 2.5 override.

Underestimate Revenues

The dominant reason free cash increases every year is that Local Receipts have been consistently underestimated. The annual Finance Committee report to Town Meeting, in Appendix C-1 under the section "Local Receipts Detail" for FY2026 is copied below:

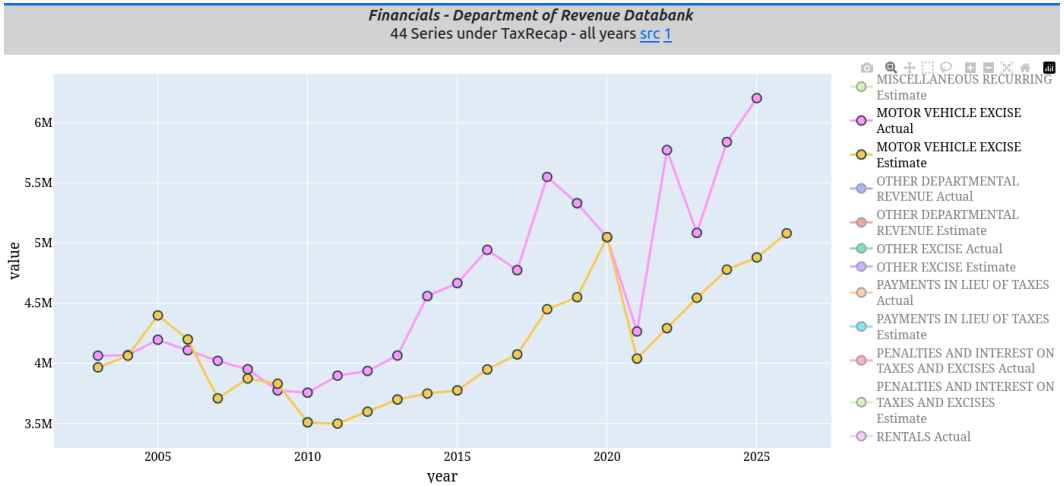
LOCAL RECEIPTS DETAIL	
Motor vehicle excise	4,998,450
Other excise - hotel	375,000
Other excise - meals	475,000
Marijuana	239,000
Penalties & interest	370,000
Payments in lieu of taxes (PILOT)	18,000
Fees	925,000
Rentals	233,544
Schools Medicaid	200,000
Dept revenue - cemeteries	235,000
Other departmental revenue	240,000
Licenses and permits	1,725,000
Court fines	10,000
Investment income	400,000
TOTAL LOCAL RECEIPTS	**10,443,994**

The largest line items are motor vehicle excise tax, permits, investment income and various local option taxes - meals, rooms, pot.

Motor Vehicle Excise Tax

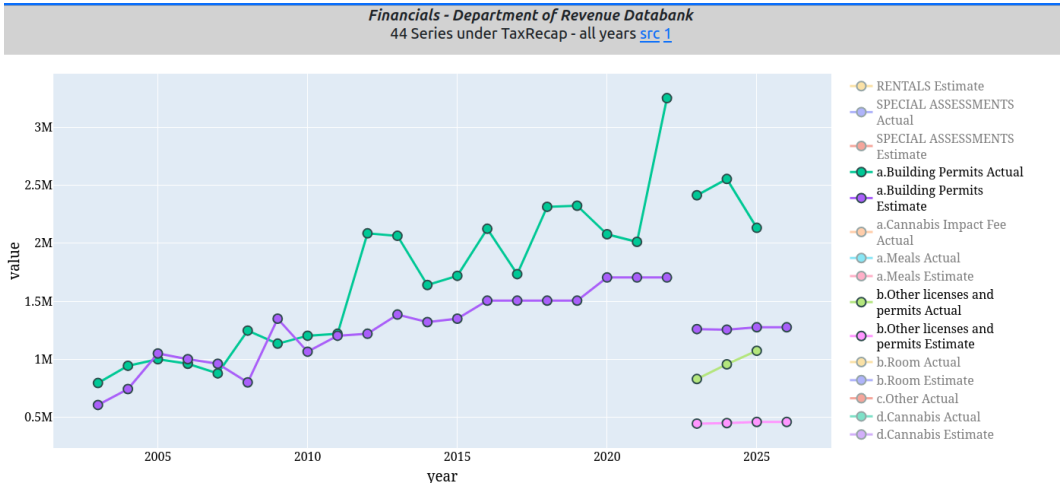
Below is a chart of the Motor Vehicle Excise Tax estimated in the annual Town Meeting FinCom report used for the available revenue for appropriations. The yellow line is the estimated amount, while the pink line is the actual amount. Note that from 2003 - 2011 or so, the estimated excise taxes and the actual collected excise taxes were aligned. For the past 12 years, excluding the pandemic, excise tax estimates (yellow) provided to Town Meeting for appropriations trails the actual collected (pink) by an average of

In FY2025, the latest available, the Town Meeting FinCom report estimated just under $5M, which was appropriated, while the actual amount was $6.2M. The more than $1M difference mostly ends up as free cash.



Permits and Licenses

Below is a chart of the Permits and License fees estimated in the annual Town Meeting FinCom report used for the available revenue for appropriations. The green lines are the estimated amount, while the purple lines are the actual amount. Note that from 2003 - 2011 or so, the estimated permit and license fees and the actual collected permit and license fees were aligned. For the past 12 years, excluding the pandemic, permit and license fee estimates (purple) provided to Town Meeting for appropriations trails the actual collected (green) by an average of about $1.5M each year for the past 15 years. The discontinuity in 2023 is the result of name changes to these funds by the MA Department of Revenue.

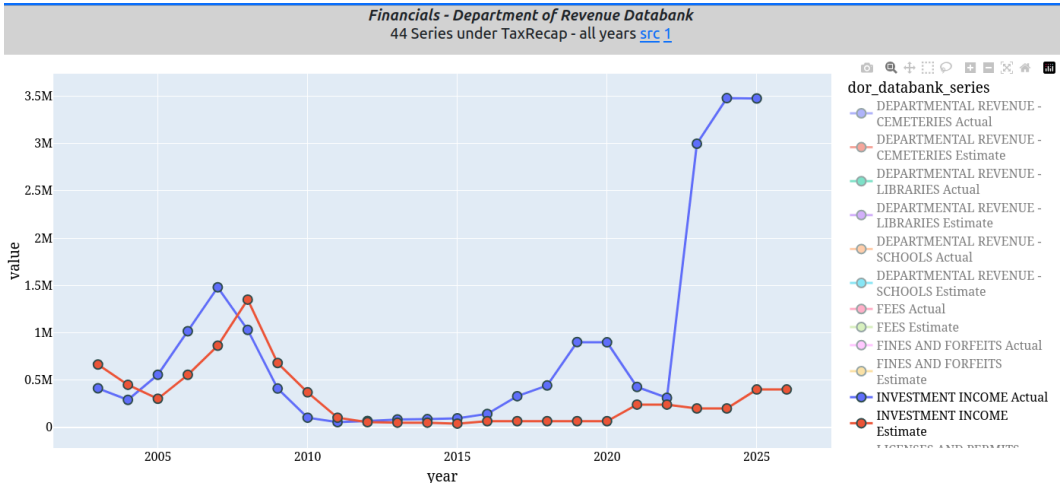


In FY2025, the latest available, the Town Meeting FinCom report estimated just under $1.8M, which was appropriated, while the actual amount collected was $3.2M. The almost $1.4M difference mostly ends up as free cash.

Investment Income

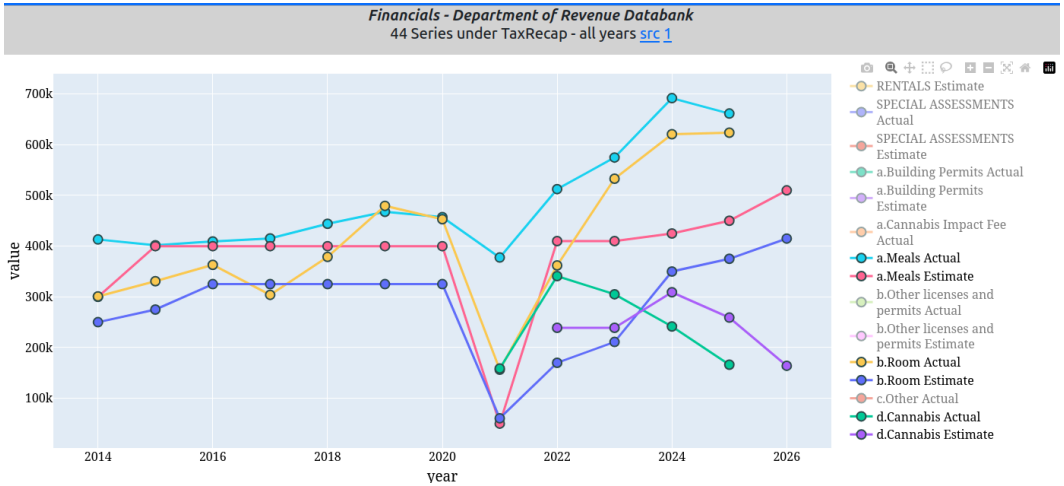
Below is a chart of the Investment Income estimated in the annual Town Meeting FinCom report used for the available revenue for appropriations. The red line is the estimated amount, while the blue line is the actual amount. Note that from 2003 - 2021 or so, the estimated investment income and the actual income were aligned. For the past 3 years, investment income estimates (red) provided to Town Meeting for appropriations trails the actual collected (blue) by an average of about $3M each year for the past 3 years. Note, the first time a substantial reserve account had excess investment income, the 2005 - 2009 period, the estimates and actual tracked well with just a one year lag. Apparently, Arlington abandoned this financial management tool after the 2011 override.

Note well, the $3M bump in Arlington's investment income was the result of the substantial MSRB balances expended for the new AHS building and are expected to drop, unless a new override is approved for FY2027.



Local Options Taxes - meals, rooms, pot

Below is a chart of 3 local option taxes estimated in the annual Town Meeting FinCom report used for the available revenue for appropriations. This chart is more challenging to read, but the differences are clear, estimates almost always lag actual amounts, in this case by about $500,000 per year. Funny how Local Receipt estimates are always much lower (20%+) than actual since 2011.



In general, Arlington underestimates the local receipts revenues by $6M - $7M per year growing by about $2M per year over the past five years. Targeting 7% free cash to budget (the upper end of the suggested limit) would free up about $6M per year and lower the FY2027 projected budget deficit.

FinCom needs to update its estimates for local receipts to a more realistic level.

DOR Trends in Free Cash

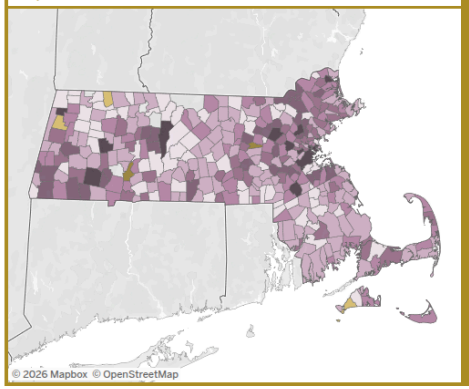
While local receipts add about $6M a year in underestimated revenues, overestimated expenses add another $3M - $4M per year over the past three years or so. This is evidenced by the below graphics from the MA Department of Revenue in the table on the bottom "Free Cash Trend by Municipality, selected for Arlington.

Certified Free Cash Use Trends

Free cash is a revenue source that results from the calculation, as of July 1, of a community's remaining, unrestricted funds from its operations of the previous fiscal year based on the balance sheet as of June 30. Municipalities cannot expend free cash until it has been submitted to and approved by the Division of Local Services. Free Cash plays a critical role in sustaining a strong credit rating and it's important to adopt policies for its use.

Learn More About Free Cash →

Map of Free Cash Use

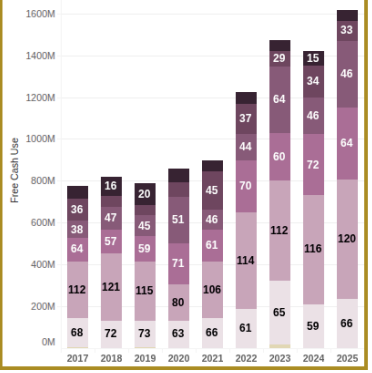


Fiscal Year: 2025

Legend

- Used 0.5% - 19.9%
- Used 20% - 39.9%
- Used 40% - 59.9%
- Used 60% - 79.9%
- Used 80% - 99.9%
- Used 100%
- Over 100% Used
- No Free Cash Used
- No Submission

Free Cash Use Count by Year



Municipality: Arlington

Free Cash Trend by Municipality

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
Budget	$150,087,512	$153,009,744	$163,154,376	$177,236,584	$180,791,784	$189,881,291	$198,992,036	$207,270,355	$221,499,524	$233,396,599
Free Cash	$9,701,131	$9,186,749	$11,119,563	$11,802,775	$11,318,368	$11,078,429	$15,912,078	$18,032,011	$20,597,993	$22,737,640
Free Cash % Budget	6.5%	6.0%	6.8%	6.7%	6.3%	5.8%	8.0%	8.7%	9.3%	9.7%

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
Free Cash Use	$4,850,566	$4,593,375	$5,559,782	$5,901,388	$5,659,184	$5,539,215	$7,956,044	$8,941,936	$10,298,997	
Free Cash % Use	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	49.6%	50.0%	

Note that from 2017 - 2022, free cash was about $11M and was 6% to 7% of the budget, but starting in 2023 rose to 8% and is now at 10% of the budget. Our S&P credit ratings were the same with free cash at 6% of the budget as they are at 10%.

Overestimate Expenses

Below is the "Long Range Projection" in appendix D-1 in FinCom's FY2026 report to Town Meeting showing the more than $13M budget deficit projected for FY2027. Let's look closely.

APPENDIX D
Long Range Projection
FY2025-FY2029

		FY 2025	FY 2026	Dollar Change	Percent Change	FY 2027	Dollar Change	FY 2028	Dollar Change	FY 2029	Dollar Change
I	**REVENUE**										
A.	State Aid	28,603,013	29,836,872	1 (28,603,013)	-100.00%	30,130,224	293,352	30,426,510	296,286	30,725,759	299,249
B.	Local Receipts	10,255,994	10,443,994	188,000	1.83%	10,543,994	100,000	10,643,994	100,000	10,743,994	100,000
C.	Free Cash	8,941,936	10,298,997	1,357,061	15.18%	4 5,833,182	(4,465,815)	5,833,182	0	5,833,182	0
D.	Overlay Reserve Surplus	750,000	750,000	0	0.00%	200,000	(550,000)	200,000	0	200,000	0
E	Property Tax	165,708,017	171,221,353	5,513,336	3.33%	175,703,651	4,482,298	180,423,401	4,719,750	185,184,656	4,761,255
F	Override Stabilization Fund	3,267,508	9,080,811	5,813,303	177.91%	5,357,991	(3,724,320)	0	(5,357,991)	0	0
	TOTAL REVENUES	**217,526,468**	**231,632,027**	14,105,559	6.48%	**227,769,042**	(3,864,485)	**227,527,087**	(241,955)	**232,687,591**	5,160,504
II	**APPROPRIATIONS**										
	One Time COVID impact										
A.	School Additions	3,100,000	1,700,000	(1,400,000)	-45.16%	600,000		300,000		0	
	General Education Costs	61,351,257	2 66,753,248	5,401,991	8.81%	71,956,996	3,503,748	74,585,901	2,028,905	75,965,503	1,079,602
	Special Education Costs	32,025,356	34,107,004	2,081,648	6.50%	36,323,959	2,216,955	38,685,016	2,361,057	41,199,542	2,514,526
	Growth Factor	44,635	3 1,070,420	1,025,785	2298.16%	(493,324)	(1,563,744)	(1,489,280)	(995,956)	(632,944)	856,336
	Net School Budget	**96,521,248**	**103,630,672**	7,109,424	7.37%	**108,387,631**	4,756,959	**112,081,637**	3,694,006	**116,532,101**	4,450,464
	Minuteman Operating & Capital	6,732,038	6,706,386	(25,652)	-0.38%	6,941,110	234,724	7,184,049	242,939	7,435,491	251,442
	Minuteman Exempt Capital	1,830,191	1,737,470	(92,721)	-5.07%	1,737,470	0	1,737,470	0	1,737,470	0
	Total Minuteman	**8,562,229**	**8,443,856**	(118,373)	-1.38%	**8,678,580**	234,724	**8,921,519**	242,939	**9,172,961**	251,442
	Town Personnel Services	32,371,405	33,887,660	1,516,255	4.68%	34,989,009	1,101,349	36,126,152	1,137,143	37,300,252	1,174,100
	Town Expenses	12,697,346	13,741,184	1,043,838	8.22%	14,187,772	446,588	14,648,875	461,103	15,124,963	476,088
	Town Additions	250,000		(250,000)	-100.00%						
	Enterprise Fund/Other Offsets	(3,218,686)	(3,282,750)	(64,064)	1.99%	3,389,439	106,689	3,499,596	110,157	3,613,333	113,737
	Net Town Budget	**41,850,065**	**44,346,094**	2,496,029	5.96%	**45,787,342**	1,441,248	**47,275,431**	1,488,089	**48,811,882**	1,536,451
B.	**Capital budget**										
	Exempt Debt Service	12,522,707	12,707,667	184,960	1.48%	12,472,788	(234,879)	12,382,379	(90,409)	11,984,197	(398,182)
	Non-Exempt Service	7,478,171	7,417,567	(60,604)	-0.81%	8,539,351	1,121,784	8,542,117	2,766	8,328,404	(213,713)
	Cash	4,952,417	5,031,594	79,177	1.60%	4,575,262	(456,332)	4,798,935	223,673	5,168,245	369,310
	Offsets/Capital Carry Forward	(984,261)	(574,674)	409,587	-41.61%	(305,756)	268,918	(238,810)	66,946	(192,921)	45,889
	Total Capital	***23,969,034***	***24,582,154***	613,120	2.56%	***25,281,645***	699,491	***25,484,621***	202,976	***25,287,925***	(196,696)
C.	Pensions	14,994,696	15,866,268	871,572	5.81%	16,738,913	872,645	17,659,553	920,640	18,630,828	971,275
D.	Insurance	23,241,930	26,210,136	2,968,206	12.77%	27,724,729	1,514,593	28,822,112	1,097,383	30,087,531	1,265,419
E.	State Assessments	4,151,546	4,366,306	214,760	5.17%	4,472,338	106,032	4,581,021	108,683	4,692,420	111,399
F.	Overlay Reserve	600,000	600,000	0	0.00%	600,000	0	600,000	0	600,000	0
G.	Reserve Fund	2,019,326	2,089,593	70,267	3.48%	2,099,383	9,790	2,151,447	52,064	2,207,034	55,587
I.	Warrant Articles	1,616,393	1,496,948	(119,445)	-7.39%	1,548,448	50,000	1,498,448	(50,000)	1,548,448	50,000
J.	Override Stabilization Fund	0	0	0		0	0	0	0	0	0
K.	**TOTAL APPROPRIATIONS**	**217,526,468**	**231,632,027**	14,105,559	6.48%	**241,319,009**	9,685,482	**249,075,789**	7,756,780	**257,571,130**	8,495,341
L.	**SURPLUS (DEFICIT)**	**0**	**0**			**(13,549,967)**		**(21,548,702)**		**(24,883,539)**	
	Free Cash	20,597,993	11,666,365			11,666,365		11,666,365		11,666,365	
	Stabilization Fund	4,533,605	4,724,277			4,918,763		5,117,138		5,319,481	
	Override Stabilization Fund	14,440,302	5,357,991			0		0		0	
	Overlay Surplus (less liabilities)	2,002,268	2,152,268			1,752,268		1,352,268		952,268	
	Municipal Bldg. Ins. Trust Fund	667,715	674,392			681,136		687,947		694,827	
	TOTAL:	42,241,883	24,575,293			19,018,531		18,823,718		18,632,940	
	Reserves % of General Fund Revenue	19.2%	10.6%			8.3%		8.3%		8.0%	
	Debt % of General Fund Revenue	9.1%	8.7%			9.2%		9.2%		8.7%	

The plan does not include any projected revenues or expenditures from the Community Preservation Act

Projected School Enrollment Growth FY 2026 - FY 2030

	*FY 2025***	*FY 2026***	*FY 2027**	*FY 2028**	*FY 2029**
Actual/Proj. Annual Growth	*5*	3 *115*	*(53)*	*(160)*	*(68)*

** Actual Growth - FY23 50% PPC of $14,601 = $7,300 X EG

** Projected Growth - FY2026 through FY2030 Based on 50% of FY22 DESE Per Pupil Cost of $18,615 = $9,307 X Enrollment Growth; APS is currently seeking to update enrollment projection numbers*

I've highlighted 4 line items of interest numbered and highlighted in yellow with footnotes below.

1. Under **Revenue A. State Aid**, the highlighted **Dollar Change** column is obviously incorrect and should be about $1.2M. The projections for the next three subsequent years, increases of about $300k is just a 1% annual increase in state aid. As we all know, state aid has increased an average of 2.43% per year over the past two decades, and in fact the Governor's FY2027 initial

state aid proposal for FY2027 is 2% or closer to $600K, and traditionally is increased by the legislature. A more realistic and ***conservative*** estimate would be a $600K - $1M increase in state aid for each of the next three fiscal years.

2. Under II Appropriations A General Education Costs, the highlighted Dollar Change between FY2027 ($72M) and FY2026 ($67M) is reported as $3.5M. Not just sloppy, but the subtotal is correct because the School Additions line item change (-$1.1M) is incorporated into the General Education line item masking an almost **8% increase in general ed funding** in FY2026. Not just sloppy by deceptive.
3. Under II Appropriations A the Growth Factor line item shows $1M increase predicated on the FY2026 enrollment growth of 115 students, when in fact DESE reports that enrollment in FY2026 decreased by 15 students. Over the past 7 years, the enrollment growth factor reported to Town Meeting exceeds the actual enrollment growth by almost 200 students, or an over-estimate of about $300K per year in APS expenses. Projections of future K enrollment decreases far exceed what is projected in this report.
4. Again in Revenues, line item B Local Receipts indicate a minimal increase of $100K holding steady at about $10M, when in fact, we know from the sections above, this is underestimated by approximately $6M. As well, the highlighted expected free cash transfer is projected to drop from $10M in FY2026 to $5.8M for the next 3 years, even though free cash, and the historic 50% transfer rate, indicates that for FY2027, at least, the free cash transfer will be more than $10M.

The long term projection report is sloppy, misleading, under estimates revenues and over estimates expenses by over $12M for FY2027. Merely by limiting free cash to the historic 5% - 7% recommended target and recognizing both revenue and expenses in more defensible, realistic, accurate manner reveals there is no FY2027 deficit.

There is no need for an override in FY2027.

Conclusion

In equity markets, unscrupulous managers inflate revenues and under report expenses to boost their stock price which is a criminal offense. In municipal finance, the opposite financial manipulations occur by under reporting revenues and inflating expenses to advocate for increased taxation which while not criminal is the same type of deception and financial chicanery.

Is it too much to ask for well presented, accurate financial reporting before seeking an override?

Bonus, here is a copy of the APS overview presented to Town Meeting last year. Notice the mistake? Not just sloppy, but it is appalling that dozens of MIT grads on Town Meeting fail to recognize that 6113 / 668 != 12.2 That new math I never learned.

Arlington Public Schools
Education That Empowers

Arlington Public Schools Budget Facts and Figures

$103,630,672	FY26 school district operating budget (general fund)
$19,788,143	Chapter 70 State Aid (FY26 Preliminary – Governor's Budget)
$83,466	Average teacher salary / state average $86,118 (DESE) (FY22)
$19,471	Per pupil cost (all funds) / state average $21,885 (DESE) (FY23)
6,113	Students enrolled as of 10/1/25 (DESE)
1061.0	School district general fund employees budgeted (FY26 FTE - full-time equivalents)
668	Teachers budgeted in FY26 (FTE - full-time equivalents)
97.1%	Arlington High School 2023 4-year cohort graduation rate (state rate is 89.2%)
34	Athletic programs offered at high school level in 2024-25, with 65 total teams
12.2 to 1	Student teacher ratio 2023-2024 / state ratio 11.8 to 1 (DESE)
11	# of public schools in Arlington, including Menotomy Preschool

Stephen Harrington

BCC - a bunch of people.